UCC 202 – DEVELOPMENT CONCEPTS & APPLICATION

LECTURE 2: ECONOMIC GROWTH AND ECONOMIC DEVELOPMENT

2.1 Economic Growth

- Economic Growth refers to the **increase in the output of goods and services** in an economy over time
- Typically measured by changes in **Gross Domestic Product (GDP).**
- It reflects the **quantitative expansion of an economy a**nd is primarily focused on the rise in national income.
- For instance, a country experiencing a rise in industrial production, export revenues, or infrastructure investment is considered to be undergoing economic growth.
- Example: China's rapid industrialization and growth in GDP over the past few decades is an example of economic growth.

2.2 Economic Development

- Economic Development refers to the improvement in the standard of living, quality of life, and well-being of people in a country.
- It includes factors like poverty reduction, education, health improvements, and social equality.
- Economic development is both quantitative and qualitative in nature
- Involves changes in the structure of the economy, income distribution, and human development.
- Economic development goes beyond mere income or wealth creation and integrates human well-being, equity, sustainability, and long-term progress.
- Example: Norway's focus on improving healthcare, education, and equality, along with its high Human Development Index (HDI), reflects economic development.

2.3 Objectives of Development

a) **Poverty Reduction:** One of the primary objectives of development is to reduce poverty by improving income distribution and providing basic services.
b) **Improved Living Standards**: Development aims to raise living standards by enhancing access to education, healthcare, sanitation, and housing.
c) **Human Capabilities**: Development seeks to improve human capabilities through education, health services, and job opportunities.
d) Economic Stability: Ensuring a stable and resilient economy that can withstand shocks and provide long-term prosperity.

2.4 Key Differences between Economic growth and Economic Development

1. Scope

Economic Growth focuses strictly on the quantitative increase in the economy, often measured through indicators like GDP, industrial production, or national income.

Example: A country with a large increase in factory output or a rise in export earnings is experiencing economic growth.

Economic Development is much broader and incorporates not just economic factors, but also social, political, and environmental dimensions, including access to education, health services, clean water, and human rights.

Example: A country's development would be evaluated by improvements in life expectancy, poverty reduction, and the provision of social services**.**

2. Quality vs Quantity

Economic Growth

- Is quantitative and measuring the volume of goods and services produced in an economy.
- Does not address how those resources are distributed or their impact on individual well-being.

Example: A country may experience economic growth with rising GDP, but the benefits might not reach everyone equally (e.g., rising wealth inequality)**.**

Economic Development

- Is qualitative in nature
- Focuses on the well-being of individuals
- It looks at improvements in quality of life, such as healthcare access, educational opportunities, and life satisfaction.

Example: Improvements in literacy rates or reductions in infant mortality are clear indicators of economic development, even if GDP growth is modest.

3. Sustainability

Economic Growth

- Often lacks sustainability because it focuses on short-term increases in output.
- It can be driven by the exploitation of resources without considering long-term consequences for the environment or social equality.

Example: A country might experience economic growth by depleting its natural resources (like fossil fuels) or through labour exploitation, which can cause environmental damage or social instability in the future.

Economic Development

- It emphasizes sustainability and equitable outcomes.
- It focuses on ensuring that the benefits of growth are long-lasting and that economic, social, and environmental needs are balanced**.**

Example: Countries like Costa Rica, Seychelles focus on sustainable tourism and green energy, ensuring that their economic development does not harm the environment or future generations.

4. Distribution of Wealth

Economic Growth

- May not address the distribution of wealth and can lead to inequality.
- Growth often results in wealth accumulation in the hands of a few, leaving some groups or regions behind.

Example: In rapidly growing economies like China, while the country has seen significant GDP growth, income inequality between urban and rural populations remains a concern.

Economic Development

- Emphasizes equity in the distribution of wealth
- Aims at inclusive growth where all segments of society benefit.

Example: Scandinavian countries, such as Norway and Sweden, focus on social welfare and income redistribution, ensuring that even the poorest citizens benefit from development.

5. Measurement Criteria

Economic Growth

- Focuses on the quantity of economic activity.

- Often measured by indicators like GDP, per capita income, and economic output

Example: A rise in GDP per capita is often used as the primary indicator of growth.

Economic Development

- Uses broader and multidimensional indicators
    - Human Development Index (HDI),
    - Education levels,
    - Life expectancy
    - Literacy rates
    - Access to basic services.
- It assesses the overall well-being and quality of life in society.

Example: A country with a high HDI ranking might have slower GDP growth but better access to education, healthcare, and a higher standard of living.

6. Focus on Human Welfare

Economic Growth

- Typically overlooks human welfare or social aspects.
- It doesn't always prioritize improving people's lives or addressing social injustices.

Example: A country might see increased production and income, but this growth might not lead to improvements in social services or health care.

Economic Development

- Has a strong focus on improving human welfare.
- It is concerned with increasing the quality of life and reducing poverty, inequality, and exclusion.

Example: Policies that promote universal healthcare, affordable housing, and education for all are aspects of economic development.

7. Long-term vs Short-term Focus

Economic Growth

- Tends to have a short-term focus, aiming for immediate gains in economic performance,
- Often does not consider longer-term impacts on society or the environment.

Example: A country may temporarily boost its GDP by encouraging rapid industrialization without addressing the long-term environmental costs.

Economic Development

- Takes a long-term view aiming for sustainable and inclusive progress that will continue benefiting future generations.

Example: Development policies focused on renewable energy or public health aim to achieve benefits that will last for decades.

8. Impact on Social Capital

Economic Growth

- May neglect social capital and focus more on tangible economic outputs rather than fostering social cohesion or community strength.

Example: A country with high growth rates but low social integration and high social unrest (such as inequality and lack of opportunities) may experience economic growth but not true development.

Economic Development

Pays more attention to fostering social capital and building a cohesive society that values cooperation, trust, and inclusion.

Example: Successful development models in countries like Finland emphasize social trust, community engagement, and collaborative governance as part of their national development strategy.

Summary of Direct Comparisons between Economic Growth & Economic Development

ECONOMIC GROWTH

1. Focuses on the increase in a country's output of goods and services.
2. Measured by GDP (Gross Domestic Product) or GNP (Gross National Product).
3. Primarily a quantitative measure of economic progress.
4. Emphasizes rising production, income, and employment.
5. Does not necessarily address improvements in living standards
6. Does not focus on distribution of a country's wealth resulting in inequality by accumulating wealth in the hands of a few.
7. Focuses in the short-term e.g. annual turnover like GDP growth in a particular year.
8. Narrow in scope by focusing only on economic metrics like volumes of goods and services, GDP, Per capita GDP aspects of development.
9. Does not focus on social capital but focuses more on tangible economic outputs rather than fostering people's capacities, social cohesion or community strength.

ECONOMIC DEVELOPMENT

1. Encompasses both economic growth and improvements in quality of life.
2. Focuses societal welfare metrics like reducing poverty, improving health care, education, and infrastructure.
3. Both quantitative and qualitative by addressing social welfare and inequality.
4. Aims for broad societal improvements and equitable benefits for all.
5. Measured not only by income but also by human development indicators like literacy, life expectancy, and standard of living.
6. Emphasizes equity in the distribution of wealth through inclusive growth where all segments of society benefit.
7. Focuses in the long-term aiming at sustainable progress.
8. Broad in scope by focusing on economic, social, political, and environmental dimensions of development.
9. Pays more attention to fostering social capital and building people's capacities and cohesive societies.